Tahweel Tech Solutions

Department: Finance | Owner: Fahad Al-Zahrani | Classification: Internal

ZATCA E-Invoicing and Financial Control Policy

Purpose

This policy defines Tahweel Tech Solutions' compliance obligations under the Zakat, Tax and Customs Authority (ZATCA) e-invoicing regulation (Fatoora), and establishes internal controls for VAT reporting, expense approval, and vendor payment.

E-Invoicing (Fatoora) Compliance

- All B2B and B2C invoices must be issued electronically in XML/PDF-A3 format via the ZATCA-integrated invoicing system, in line with Phase 2 (Integration Phase) requirements.
- Every invoice must include a cryptographic stamp and QR code prior to being shared with the customer.
- Simplified tax invoices for retail transactions must be reported to ZATCA within 24 hours of issuance.
- Standard tax invoices must be cleared through ZATCA's platform before being sent to the buyer.

VAT Reporting

Tahweel Tech Solutions is registered for Value Added Tax at the standard rate of 15%. VAT returns are filed monthly (given the company's annual taxable supply exceeds the SAR 40 million threshold for monthly filers). Returns and any VAT due must be submitted to ZATCA by the last calendar day of the Gregorian month following the reporting period. Late filing incurs a penalty of 5%-25% of the unpaid tax depending on the delay period.

Q3 2026 Budget Snapshot

- Total Q3 2026 revenue: SAR 8.4 million (against a target of SAR 8.0 million).
- Operating expenses: SAR 5.1 million, primarily infrastructure (Azure hosting), payroll, and R&D; for the Madar AI platform.
- R&D; allocation for the AI/RAG initiative: SAR 1.2 million for Q3, covering compute costs and the four-person cross-functional team.
- Net margin for Q3: 22%, an improvement of 3 percentage points over Q2.

Expense Approval Thresholds

- Up to SAR 5,000: Department manager approval.
- SAR 5,001 - SAR 50,000: Finance Director approval required in addition to department manager.
- Above SAR 50,000: CFO and CEO joint approval required.

Vendor Payment Terms

Standard vendor payment terms are net 30 days from invoice acceptance. Cloud infrastructure vendors (including Microsoft Azure) are paid via monthly recurring invoice on a corporate purchase agreement.